



Taxing Gifts

While gifting is considered a show of gratitude, running afoul of its taxation regulations could land you in trouble

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GIVING GIFTS TO relatives and others is indeed a way of life in India. It is also a way of transferring wealth to the next of kin. Going through the current marriage season, one witnesses huge spending on weddings, and gifts too. But the taxman looks at gifts with a hawk's eye. And of late, one has seen a number of cases and judgements on the issue of when a gift is regarded as valid, and the consequences of it not being regarded as such.

Let's begin with a bit of a background. India had a Gift-Tax Act, 1958, that required the donor to pay a gift tax on the value of the gifts made. So, a person making the gift would give a gift and also pay tax on the taxable value of the gift. While the rates varied from time to time, from 1987, the rate of tax was set at 30 per cent of the value of the gift. The Act was abolished in 1998 and gifts made thereafter were tax-free. In 2004, the Income-tax Act, 1961, was amended to provide that

gifts—other than those that are exempted—received by an individual or a Hindu undivided family (HUF) in excess of ₹50,000, would be taxable as income of the recipient.

Effectively, this shifted the tax liability from the donor to the recipient. As it happens, the taxation of gifts began with cash gifts, progressed to all gifts, and went on to provide that transfer of assets for inadequate consideration would be regarded as a gift, and taxed as such. The Act now provides that not only are gifts received by individuals and HUF taxable, but other recipients would also be covered within the ambit of Section 56 of the Income-tax Act (that deals with gifts being deemed as income of the recipient).

Again, to set the context right, gifts from specific relatives are completely exempt from tax. Similarly, gifts received on certain occasions like marriage or on inheritance are also exempt. These exemptions apply irrespective of whether such gifts are domestic or cross-border. The question that arises, then, is whether there are any restrictions on such exemptions. Or the mere fact that these gifts were received from a specific relative, or on specific occasions, makes them exempt from tax. The taxman would (rightly) want to treat the gifts claimed as exempt from tax as constituting unexplained cash credit of the recipient, and tax it as such if the circumstances so warranted.

Accordingly, the onus is on the

recipient of the gift to prove that the gift is genuine in order to claim tax exemption on it. To prove a gift's genuineness, the recipient needs to show the identity of the donor; that the donor has necessary and sufficient means to give the gift; that the gift has been made voluntarily by the donor; and that the gift has been made without any consideration/quid pro quo on the part of the donor.

As mentioned earlier, the issue of how to prove the genuineness of a gift has come up for judicial scrutiny several times in the past. A question that usually arises is whether the donor is a taxpayer, and a confirmation from the taxpayer of the fact of the gift together with the PAN details of the donor is sufficient in such cases. Once it is shown that the donor is a taxpayer, the onus shifts back to the tax office to call the donor and examine her bank statements to ensure that there are no circular transactions (such as unexplained deposits just before the gift is given), as that would be interpreted as a bogus gift.

The genuineness of a gift can be questioned by the tax office from the perspective of the principle that 'tax planning may be legitimate, provided it is within the framework of the law', or with regard to the anti-abuse provisions in taxation laws. Justification may then be required to show that the gift was indeed genuine. If the subsequent and immediate events show that the gift was just a medium to avoid taxes (for example, gifts made to circumvent